

MODULE 13: THEORIES OF MOTIVATION

Learning Objectives:

- Understanding of meaning, concept and importance of motivation
- Understanding of motivation process and important theories of motivation

I. Motivation

Motivation means incitement or inducement to act or move. In the context of an organization, it means the process of making subordinates to act in a desired manner to achieve certain organizational goals. While discussing about motivation, we need to understand three interrelated terms — motive, motivation and motivators. Let us try to know about these terms.

- **Motive:** A motive is an inner state that energizes, activates or moves and directs behavior towards goals. Motives arise out of the needs of individuals. Realization of a motive causes restlessness in the individual which prompts some action to reduce such restlessness.

For example, the need for food causes hunger an account of which a man searches for food. Some such motives are – hunger, thirst, security, affiliation, need for comfort, recognition etc.,

- **Motivation:** Motivation is the process of stimulating people to action to accomplish desired goals. Motivation depends upon satisfying needs of people.
- **Motivators:** Motivator is the technique used to motivate people in an organization. Managers use diverse motivators like pay, bonus, promotion, recognition, praise, responsibility etc., in the organization to influence people to contribute their best

Definition of Motivation

Scott has defined motivation as follows:

Motivation means a process of stimulating people to action to accomplish desired goals

McFarland has defined it as follows:

Motivation refers to the way in which urges, drives, desires, aspirations, and strivings or needs direct, control and explain the behavior of human beings.

Fred Luthans defined as:

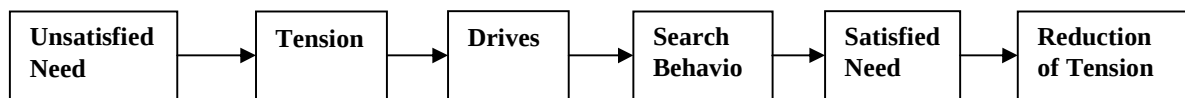
Motivation is a process which begins with a physiological or psychological need or deficiency which triggers behavior or a drive that is aimed at a goal or incentive.

On this analysis of these definitions, we can derive the following characteristic of motivation:

1. Motivation is an internal feeling: motivation is a psychological phenomenon which generates within an individual. Needs are feelings in the mind of a person that he lacks certain things. Such feelings affect the behavior of the person.
2. Person in totality, not in part, is motivated: each individual in the organization is a self-contained and inseparable unit and his all needs are interrelated. These affect the behavior in different ways. Moreover, feeling of needs is a continuous process; as such these create continuity in human behavior.

II. Motivation Process:

Motivation process is based on human needs. A simple model to explain motivation process is presented below. An unsatisfied need of an individual creates tension which stimulates his or her drives. These drives generate search behavior to satisfy such need. If such need is satisfied, the individual is relieved of tension.



Motivation Process

III. Importance of motivation

Motivation is an important part of managing process.

Importance of motivation in management may be judged on the basis of the following factors:

1. **Effective use of resources:** in business all physical resources are got to be used through human force. Effective and efficient use of these resources depends on the ability and readiness of work force. Thus team of highly motivated employees greatly help in making optimum use of available resources for achieving objectives.

2. **Higher efficiency:** motivation is directly related to the level of efficiency. Highly motivated employees make full use of their energy and other abilities to raise the existing level of efficiency. They produce more as compared to other employees.
3. **Accomplishment of organizational goals:** highly motivated employees would make goal-directed efforts. They are more committed and cooperative for seeking organizational goals.
4. **Reduce labor turnover and absenteeism:** Motivation helps to reduce employee turnover and thereby saves the cost of new recruitment and training. The main reason for high rate of employee turnover is lack of motivation. If managers identify motivational needs of employees and provide suitable incentives, employees may not think of leaving the organization. Motivation helps to reduce absenteeism in the organization. Some important reasons for absenteeism are—bad working conditions, inadequate rewards, lack of recognition, poor relations with supervisors and colleagues etc. Through sound motivational system, all these deficiencies can be covered.
5. **Healthy industrial relation:** motivation is considered as a backbone of good industrial relation. Effectively motivated employees get more satisfaction and carry high morale which makes them more disciplined.

IV. Theories of Motivation

No organization can succeed without highly motivated and committed team of employees. It is only through them all other physical resources, like land, building capital and machine, etc. are got to be used for the accomplishment of predetermined goals.

Since motivation is highly complex, many researchers have studied about motivation from several dimensions and developed some theories. These theories help to develop understanding about motivation phenomenon. Some of these important theories are;

- ❖ Maslow's Need Hierarchy Theory of Motivation,
- ❖ Herzberg's two Factor Theory and
- ❖ McGregor's Theory X and Theory Y

➤ **Maslow's Need Hierarchy Theory of Motivation**

Maslow's Need Hierarchy Theory is considered fundamental to understanding of motivation. Abraham Maslow, a well-known Psychologist in a classic paper published in 1943, outlined the elements of an overall theory of motivation.

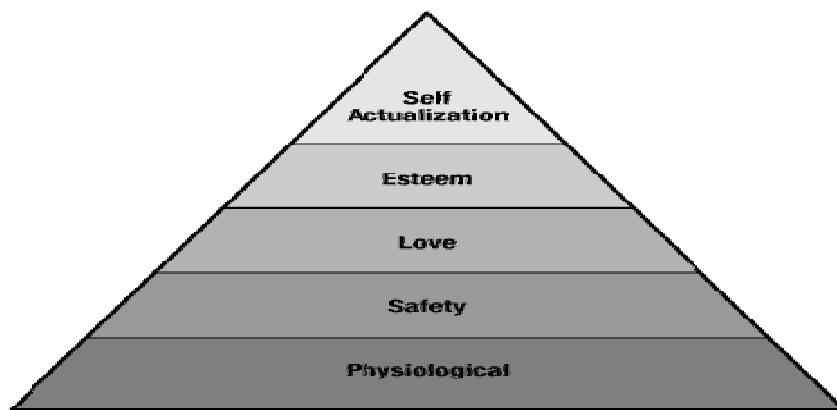
His theory was based on human needs. He felt that within every human being, there exists a hierarchy of five needs. These are:

1. **Basic Physiological Needs:** These needs are most basic in the hierarchy and correspond to primary needs. Hunger, thirst, shelter, sleep and sex are some examples of these needs. In the organizational context, basic salary helps to satisfy these needs.
2. **Safety/Security Needs:** These needs provide security and protection from physical and emotional harm. Examples: job security, stability of income, Pension plans etc.,
3. **Affiliation/Belonging Needs:** These needs refer to affection, sense of belongingness, acceptance and friendship.
4. **Esteem Needs:** These include factors such as self-respect, autonomy status, recognition and attention.
5. **Self Actualization Needs:** It is the highest level of need in the hierarchy. It refers to the drive to become what one is capable of becoming. These needs include growth, self-fulfillment and achievement of goals.

Regarding need theory of Maslow, the following observations may be made.

- Hierarchy of needs has been prepared in logical sequence and needs have been put into different levels according to their effect and dominance on human behavior and his performance.
- Individual generally attempt to satisfy their basic needs first which are lying on the lower side of hierarchy.
- Maslow made it clear that need are deprivation of something affects and dominates one's behavior.
- Lower category needs require prior attention as compared to the higher order needs and lower level needs are more powerful and pressing.

- Relative satisfaction of one category needs gives rise to another level of needs and it continues till the last level.
- If the need is satisfied, it remains no more a motivator and it is only unfilled needs which affect human behavior.



Maslow's Need Hierarchy Theory of Motivation

➤ **Herzberg's Theory of Motivators and Hygiene Factors**

To better understand employee attitudes and motivation, Frederick Herzberg performed studies to determine which factors in an employee's work environment caused satisfaction or dissatisfaction.

The studies included interviews in which employees were asked what pleased and displeased them about their work. Herzberg found that the factors causing job satisfaction (and presumably motivation) were different from those causing job dissatisfaction.

He developed the **motivation-hygiene** theory to explain these results.

He called the satisfiers *motivators* and the dissatisfiers *hygiene factors*, using the term "hygiene" in the sense that they are considered maintenance factors that are necessary to avoid dissatisfaction but that by themselves do not provide satisfaction.

The following table presents the top six factors causing dissatisfaction and the top six factors causing satisfaction, listed in the order of higher to lower importance.

Factors Affecting Job Attitudes

Leading to Dissatisfaction (Hygiene Factors)	Leading to Satisfaction (Motivational Factors)
☐ Company policy ☐ Supervision ☐ Inter-personal Relationship with peers and subordinates and Boss ☐ Work conditions ☐ Salary ☐ Relationship w/Peers	☐ Achievement ☐ Recognition ☐ Work itself ☐ Responsibility ☐ Advancement ☐ Growth

Herzberg reasoned that because the factors causing satisfaction are different from those causing dissatisfaction, the two feelings cannot simply be treated as opposites of one another.

The opposite of satisfaction is not dissatisfaction, but rather, *no* satisfaction. Similarly, the opposite of dissatisfaction is *no* dissatisfaction.

While at first glance this distinction between the two opposites may sound like a play on words, Herzberg argued that there are two distinct human needs portrayed.

First, there are physiological needs that can be fulfilled by money, for example, to purchase food and shelter. Second, there is the psychological need to achieve and grow, and this need is fulfilled by activities that cause one to grow.

In summary, satisfiers describe a person's relationship with what she or he does, many related to the tasks being performed. Dissatisfiers, on the other hand, have to do with a person's relationship to the context or environment in which she or he performs the job. The satisfiers relate to what a

person does while the dissatisfiers relate to the situation in which the person does what he or she does.

➤ **Douglas McGregor - theory X Y**

Douglas McGregor, a US behavioural scientist, has developed approach to manage and motivate based on of various assumptions relating to human behaviour.

It has been formulated as theory X and theory Y. Both these theories are founded on certain assumptions regarding human behaviour.

Theory X is related to philosophy of traditional management, assumptions about employees and the way to manage them.

Theory Y is based on humanistic assumptions about employees and describes the approaches to manage and motivate them.

Theory X describes that:

1. Average employee in the organization is lazy, dull, and self-centred, resists change and does not want to share responsibility.
2. He has limited number of needs mostly physical needs and to some extent security needs.
3. Average employee lacks responsibility and has little ambitions.
4. Thus, the responsibility of getting things done by others for achieving organizational goals lies on the managers and the managers must use coercive measures to control the workers and they must be threatened and punished as to get them to work.
5. To get the things done by the employees, McGregor suggested rigid, bureaucratic and rule based organization.
6. Narrow span of management, one way communication, close supervision, more concentration on monetary incentives, and centralization of managerial authority should be followed.
7. It was also thought necessary to guide, direct and, control the employees in a strict manner and the approach of 'carrot and stick' should be used for motivating them.

Theory Y is based on and described the following

1. Work is as natural as play or rest for the workers.
2. Average employee or worker likes work, capable of assuming responsibilities, and accepting challenges.
3. They are ambitious, achievement-oriented, and capable of exercising self-control.
4. They have wide range of needs, both economic and non-economic.
5. They have potentials and they can learn to assume responsibility. They have imagination, and creativity that can be applied to work.
6. In view of these assumptions, the role of management is to develop potentials and help the employees to use it for achieving common objectives.
7. Organizational structure should be marked by open communication, flexibility, informal relation, and decentralization of authority.
8. The approach of management should include, participative management, supportive supervisory style, self-direction and control, opportunity for creativity and innovativeness and package of both monetary and non-monetary incentives.

An American social psychologist, proposed his famous X-Y theory in 1960. Theory x and theory y are still referred to commonly in the field of management and motivation, and whilst more recent studies have questioned the rigidity of the model, McGregor's X-Y Theory remains a valid basic principle from which to develop positive management style and techniques. McGregor's XY Theory remains central to organizational development, and to improving organizational culture.

McGregor's ideas suggest that there are two fundamental approaches to managing people. Many managers tend towards theory x, and generally get poor results. Enlightened managers use theory y, which produces better performance and results, and allows people to grow and develop.

References

1. L.M. Prasad, Principles & Practice of Management, Sultan Chand & Sons, 1999, ISBN: 81-7014-024-2

2. B.S. Moshal, Management Theory and Practice, Galgotia Publishing Company, 1998, ISBN: 81-85989-26-5
3. Business studies, Part I, Principles and functions of management, NCERT.
4. Arab British Academy for Higher Education. www.abahe.co.uk

Caselet1:

Y limited is a bank functioning in India. It is planning to diversify into insurance business. Lately, the government of India has allowed the private sector to gain entry in the insurance business. Previously, it was the prerogative of LIC and GIC to do insurance business. But now with liberalization of the economy and to make the field competitive other companies have been given licenses to start insurance business under the regulation of 'Insurance Regulatory and Development Authority'. Y limited plans to recruit high quality employees and agents and exercise effective direction to capture a substantial part of life and non life insurance business.

Questions

1. Identify how the company can supervise its employees and agents effectively. What benefits will the company derive from effective supervision?
2. What financial and non-financial incentives can the company use for employees and agents separately to motivate them? What benefits will the company get from them?
3. How can the company ensure that higher order needs i.e., esteem and self-actualization as specified by Abraham Maslow are met?
4. Identify the qualities of leadership in this line of business that the company managers must possess to motivate employees and agents.
5. Give a model of formal communication system that the company can follow. Identify the barriers in this model. How can they be removed?
6. How can informal communication help to supplement formal communication model given by you in answer to question 5?